The later replacement of the Sole Director by the Sole Member and the related powers of the Sole Member seemed to be an effort to limit the requirement for the lineage holder's consent solely to matters that could adversely affect the lineage rather than each and every action of the Board thus more clearly defining the role of the lineage holder and relieving him of the burdens of other matters that might come before the board, but as such represented a weakening of the lineage holders influence.

Powers of the Sole Director of the Board of the First Class and Powers of the Sole Member.

The Sole Member of Shambhala International is The Sakyong Potrang, a Colorado nonprofit corporation and a tax-exempt, charitable organization. The following brief summary of the Powers of the Sole Member provide and idea of the original corporations efforts to protect the lineage.

The Sole Member shall have the powers set forth in these Bylaws: 1) the number of Directors shall not be less than (3) as determined by the Sole Member; all members of the Board of Directors shall be appointed by the Sole member; and so on.

Also included in that report are, a) Articles of Incorporation and related corporate formation documents available from the public record and from the Shambhala Organization itself. b) An Open Letter from the "Kusung," the "Royal Guard" of Shambhala's "King," Osel Rangdrol Mukpo, aka the "Sakyong." Financial Reports from the Shambhala.org and Shambhala-transition.org websites, and Real estate documents.

Facts Concerning the Licensing Agreement and the Break with the Lineage.

1. Settlement Memorandum of December 21st 2021 (the "Effective
2. Date") by and between Shambhala USA ("SUSA"), a Colorado non-profit corporation and The Sakyong Potrang (the "Potrang").
3. A Letter to the Shambhala Community Describing the Results of the Mediation Settlement 2/21/22
4. License Agreement 2/16/22
5. Cease and Desist Letter from Philip A. Bralich, Ph.D. to stop using logos and trademarks until verifiable response from Sakyong regarding his "vote" and opinion on the matter can be obtained. 9/7/2022.

3. <u>Disposition.</u>